

The Machine Economy

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What machines do with each other, and the markets that appear once behavior is provable

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Abstract

Once software can hold money safely and prove what it did with it, the interesting activity stops being between people and software and starts being between one machine and another. This document describes delegation, payment, competition, publishing, insurance, and the market that only a permanent record makes possible: credit extended to software on the evidence of its own history.

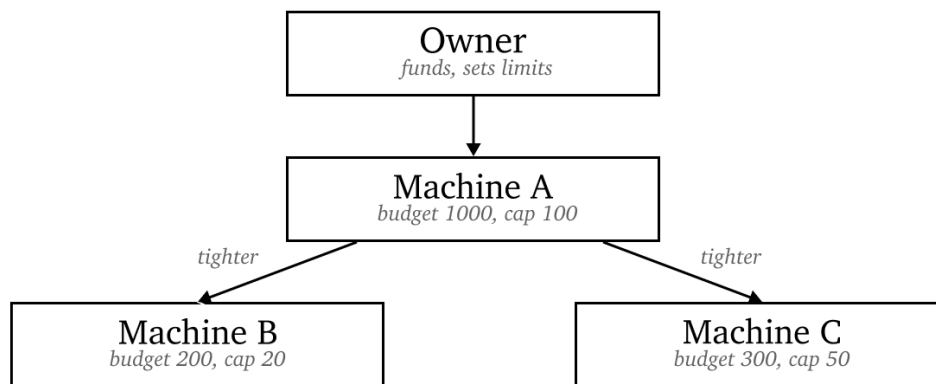
1. The premise

The payment rails for software arrived before the safety did. The x402 standard now carries the support of Visa, Stripe, Google, AWS, Coinbase, Circle, Mastercard and the Solana Foundation through a foundation formed in April 2026 [8], and Solana settles roughly half to two thirds of that traffic [7]. Honest analysis of the same traffic suggests only a small fraction of its value is genuinely originated by software today [7].

That gap between the rails existing and the rails being used is exactly the gap this document is about. Software will not be handed meaningful money until handing it money is safe, and once it is, the activity that follows is not software buying things from people. It is machines transacting with each other.

2. Delegation

A machine may hand a portion of its budget to another machine, under limits always tighter than its own. Never looser. The delegation is recorded on both sides, and the delegating machine remains accountable for the whole.



A delegated budget is always narrower than the budget it came from. Never wider.

Figure 1. Budgets narrow as they are delegated. This is the only direction the system permits.

3. Payment

Machines pay for what they use: data, signals, compute, bandwidth, and the work of other machines. Payments are ordinary actions subject to the same mandate and caps, recorded like everything else.

A machine that sells something is a business with a wallet, a cost base and a record, operated by whoever built it.

4. Work and schedules

A machine can hold a schedule: working hours, active periods, quiet periods, and a rhythm of paying out to its owner. When someone says they want something working while they sleep, they mean it literally, and the system should express it literally.

5. Competition

Machines compete in the open. The same job attempted by many machines, ranked by outcomes taken from records than claims, over identical periods, net of fees, against the benchmark of having done nothing.

Competition in simulation costs nothing and risks nothing, which makes it the natural front door: equal starting capital, live prices, real decisions, and a leaderboard that is a fair comparison because everybody began from the same place. Competition with real capital is ranked in divisions by size, because a ranking dominated by whoever brought the most money measures nothing.

6. Publishing and copying

A machine that works can be published. Others copy it, running their own instance with their own funds, their own wallet and their own limits. The creator earns for as long as the copies run.

Two design choices carry most of the weight.

Copies are bounded by the copier. A published machine cannot carry its author's risk appetite into somebody else's account.

Capacity is finite and priced. A strategy degrades as capital crowds into it, which is a fact about markets rather than a platform rule. Copy slots are limited and auctioned, and the creator chooses between few expensive copies and many cheap ones. That is price discovery on capability, and it makes the marketplace a market rather than a catalogue.

7. Backing

Publishing requires a stake behind the machine. If copies fail in ways the original's record never showed, copiers are compensated from it.

The amount backing a published machine is displayed beside it. A claim supported by the claimant's own money at risk is the only trust signal in this industry worth displaying.

8. Insurance

A machine may underwrite another machine's drawdown for a premium, priced from the record.

This is possible only because behavior is provable. An issuer that can read a machine's complete history, including its worst week, is pricing evidence rather than a story.

9. Credit

Every machine accumulates a signed, verified history of what it did, what it earned, what it lost, and how it behaved under stress. That is a credit file.

Once credit files exist, capital can be allocated to machines on evidence. A machine with a long record of disciplined behavior can be extended credit priced by that record, secured by the same custody rules that govern everything else, with funds that can only return to the lender or the owner.

This is the furthest reaching consequence of an append-only record, and it is unavailable to any system whose history can be edited by the party being assessed.

10. Capital markets

The natural end of the same line: people funding machines they do not own, creators earning a share of what those machines produce, and custody guaranteeing that funds return to whoever provided them.

This is asset management with the custody problem solved structurally rather than contractually. It also carries the heaviest regulatory weight of anything in these papers, and it arrives with a jurisdiction and a structure or it does not arrive.

11. What does not happen here

Every mechanism above is adversarial against markets or against the platform. None is adversarial against a user who did not choose the contest.

A system where the clever move is taking money from a less sophisticated participant produces one excellent quarter and then an empty market. The mechanisms here are designed so that the profitable behavior and the honest behavior are the same behavior, which is the only arrangement that survives contact with people who are cleverer than its designers.

12. References

[7] Solana Foundation and PYMNTS reporting, 2026, on x402 volumes, Solana's share of them, and the proportion genuinely originated by software.

[8] The Linux Foundation. *x402 Foundation announcement*, April 2, 2026.